

EMI PAYMENT AND DEFAULT POLICY

Department: Collections | Category: Personal Loan | Year: 2024 | CONFIDENTIAL

****BAJAJ FINANCE LIMITED INTERNAL POLICY DOCUMENT********SUBJECT: EMI PAYMENT AND DEFAULT POLICY********1. INTRODUCTION****

This document outlines the policies and procedures related to the Equated Monthly Instalment (EMI) payments and defaults for Bajaj Finance Limited. It aims to provide clarity on the processes related to payment, default consequences, and related options available to customers.

****2. NACH/ECS MANDATE PROCESS****

All customers must set up a National Automated Clearing House (NACH) or Electronic Clearing Service (ECS) mandate for EMI payments. This ensures seamless monthly debits from the customer's bank account. The mandate process involves submitting a duly filled and signed form, alongside a cancelled cheque, to authorize debits on the specified date.

****3. EMI DATE OPTIONS****

Customers are offered the flexibility to choose their EMI due date from the 5th, 10th, or 15th of each month. This choice should be made at the time of loan agreement execution.

****4. CONSEQUENCES OF MISSED EMIS****

- ****1 Missed EMI:**** A penalty fee of 2% of the overdue amount will be levied. A reminder notification will be sent.
- ****2 Missed EMIs:**** An additional penalty fee of 3% of the overdue amount will apply. The customer will receive a formal warning notice.
- ****3 Missed EMIs:**** The overdue amount attracts a penalty of 4%, and recovery actions will initiate. The customer will be contacted by the recovery team.
- ****6+ Missed EMIs:**** The account will be classified as a Non-Performing Asset (NPA) as per RBI guidelines. Legal proceedings may commence.

****5. NPA CLASSIFICATION TIMELINE****

An account is classified as NPA after 90 days of non-payment, following which recovery actions and legal notices may be pursued.

****6. LEGAL NOTICE PROCESS****

Upon classification as NPA, a legal notice will be issued to the customer. The notice will outline the outstanding dues

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and potential legal consequences if the dues remain unsettled.

****7. PREPAYMENT OPTIONS****

- ****Part Prepayment:**** Customers may prepay up to 25% of the principal outstanding amount once a year without incurring any prepayment charges.
- ****Full Prepayment:**** Customers can opt to close their loan account fully by paying the outstanding principal and applicable interest. Prepayment charges, as specified in the loan agreement, may apply.

****8. EMI HOLIDAY POLICY FOR FINANCIAL HARDSHIP****

In cases of verifiable financial hardship, customers may apply for an EMI holiday of up to 3 months. Approval is subject to internal assessment and conditions as specified by Bajaj Finance Limited.

This policy aims to facilitate a structured approach to EMI payments and defaults, ensuring both customer convenience and financial discipline. All employees are expected to adhere to and enforce these policies diligently.